

Liquidity Illusion & the Secondary Market

Session 3 • Empirical evidence • Why constant premia are an illusion

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Primary Text: Liquidity Illusion (Forthcoming, 2026)

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What we'll cover today

1

What is liquidity illusion?

Definition and where it shows up

2

Secondary market structure

Who buys, who sells, how prices form

3

Empirical evidence (2003–2024)

Discounts across four regimes

4

The Lazard/Evercore data

What practitioner reports actually show

5

Why DCF breaks here

The premium can't be constant if the market says otherwise

Liquidity illusion: a working definition

DEFINITION

Liquidity Illusion

The systematic discrepancy between (a) the assumed-constant illiquidity premium embedded in DCF marks and (b) the time-varying, state-contingent premium revealed by the secondary market.

Where the illusion appears:

- | | |
|---|---|
| ▶ LP quarterly NAV statements | Reported NAVs assume the premium hasn't moved |
| ▶ GP fundraising materials | TVPI uses constant DCF; secondary trades show different value |
| ▶ Capital adequacy calculations (Solvency II) | Solvency capital reflects constant illiquidity premium |
| ▶ Pension fund allocation models | MVO with PE assumes its assigned return; ignores regime-dependent IRR |

The secondary market: who's on each side

SELLERS (Supply)

- **Endowments rebalancing**
after the denominator effect
- **Pensions exiting illiquid**
after regulatory recalibration
- **Insurance companies**
Solvency II driven sales
- **Fund-of-funds wind-downs**
structural maturity
- **GPs running secondaries**
continuation funds

INTERMEDIARIES

(Match supply & demand)

Lazard

Evercore

PJT Park Hill

Greenhill

Houlihan Lokey

Jefferies

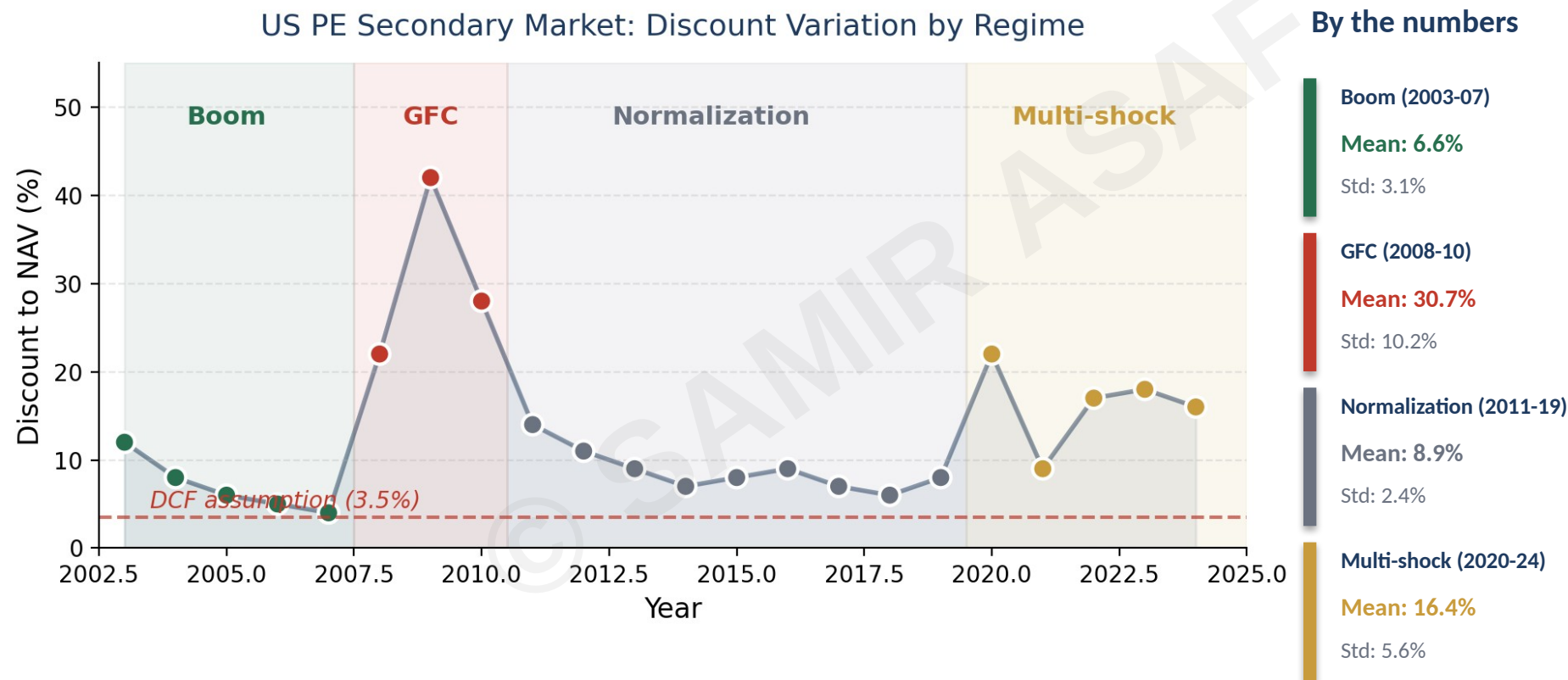
Generate the published
discount-to-NAV reports

BUYERS (Demand)

- **Dedicated secondary funds**
Ardian · Lexington · HarbourVest
- **LP-direct secondaries**
Large pensions, SWFs in-house
- **Continuation fund sponsors**
GP-led restructurings
- **Insurance & credit funds**
yield-seeking
- **Hedge funds (opportunistic)**
stressed-asset specialists

Total annual transaction volume (2024): ~\$150B globally · 2x growth since 2018

Four regimes, four magnitudes (2003–2024)



Mean varies 5×. Std varies 4×. Both depend on the regime.

DCF's single constant captures none of this. Session 4 introduces the OU process to model it.

What practitioner reports actually publish

Lazard PE Secondary Market Report • Evercore Secondary Survey • Greenhill Cogent

Pricing

Average bid as % of NAV

By strategy: Buyout / VC / Real Estate / Infra / Credit
By vintage: Mature / Growth / Recent

Volume

Transaction volume by year

Total \$ volume • LP-led vs. GP-led split • Buyer composition

Demand

Buyer survey: target IRRs

Required IRR by strategy & vintage • DPI multiples sought

Quality

Asset quality dispersion

Tier 1/2/3 fund pricing • Top quartile vs. median spreads

Every report shows time-varying discounts. None reports a constant 3.5%.

The tension at the heart of the illusion

WHAT THE LP STATEMENT SAYS

Reported NAV: \$100M

Implied discount: 0% (NAV mark)

Methodology: DCF with constant illiq premium

Updated quarterly with stale comparables

Aggregated to fund-level TVPI

Reported to LP investment committees

Used for: rebalancing • MVO • governance

WHAT THE SECONDARY MARKET SAYS

Clearing price: \$65M

Actual discount: 35% (current regime)

Methodology: actual buy-side bids

Real-time prices, real money

Reflects buyer cost of capital, time-to-exit

Reflects collective supply-demand state

Used for: actual exit • liquidity sourcing

\$35M gap. Same asset. Two methodologies. One is the illusion.

Why DCF can't patch this internally

Three failed patches the industry has tried:

Patch 1: 'Update the constant premium quarterly'

Why it fails: Quarterly updates lag the regime by 6-9 months. Backward-looking; cannot capture forward-looking equilibrium.

Patch 2: 'Use comparables to private secondaries'

Why it fails: Comparables data is sparse and biased toward distressed sellers. Survivorship and selection bias dominate the signal.

Patch 3: 'Add an asset-class-specific risk premium'

Why it fails: Asset-class adjustments don't address regime variation. Buyout's premium varies 6× across regimes — same asset class.

Session 3 summary

What we accomplished today

- 1 Liquidity illusion = the gap between DCF marks (constant premium) and secondary market clearing prices
- 2 Empirical evidence shows discounts vary 5× across regimes (boom, GFC, normalization, multi-shock)
- 3 The secondary market is a real \$150B/yr market with deep buyers, professional intermediaries, and observable prices
- 4 DCF cannot patch this internally — three industry attempts have failed because the premium is fundamentally stochastic and state-dependent

Next session

Session 4: The OU process for liquidity — the mathematical resolution to Failure 1